

EU Semiconductors

Infinion Technologies AG

Rating

Outperform

Price Target

IFX.GR

102.00 EUR



David Dai, CFA
+852 2918 5704
david.dai@bernsteinsg.com



Carmine Milano, CFA
+44 20 7762 1857
carmine.milano@bernsteinsg.com



Juho Hwang
+81 3 6777 6980
juho.hwang@bernsteinsg.com



Jack Lin
+852 2123 2683
jack.lin@bernsteinsg.com

Infinion 3QFY26: More pricing upsides to come

Infinion results and guidance largely inline. Q3 FY26 revenue of €4.17bn (vs Cons. €4.13Bn / Bern. €4.16Bn) was up 9.4% QoQ with all divisions growing. Adj. GM of 42.8% (vs Cons. 42.3% / Bern. 42.5%) was above expectations, while SM of 19.1% (vs Cons. 19.5% / Bern. 19.0%) came in slightly below. EPS was in line at €0.44. **Backlog increased by €5Bn QoQ to €30Bn** reflecting AI strength and broad-based demand recovery in industrial and automotive.

Pricing outlook strong, but with some nuances. July's second price hike supports PSS margin rising from 20.4% in Q2, to 24.9% in Q3, and we expect 30%+ in Q4. The larger benefit comes from January 2027, when VPAs—over half of revenue—are renegotiated. Higher utilization should offset rising input costs (foundry, energy, logistics and precious metal) and reduce FY26's €650mn underutilization charge. We see low-to-mid-20% group segment margins in 2H CY26, with further upside in FY27.

AI Customer Reservation Agreement (CRA) negotiated. AI-power revenue rose from €1.5bn to >€1.6bn for FY26, but management didn't give an updated number for 2.5bn FY27 AI revenue guidance, pending November. While this might have disappointed some investors, we think investors just need to be patient - We expect a material increase of FY27 AI-data-center revenue outlook to **€3.8bn (including GPU and CPU servers)** at its November results. CRAs with 10+ customers secure multi-year capacity commitments, include volume shortfall penalties, and leave pricing open.

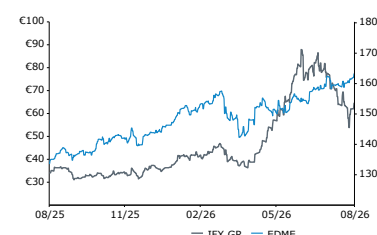
Model updates. We didn't change the view that AI power growth is strong structurally and traditional business is benefiting from tight supply and inventory restocking. We nudge our model and still expect 15% revenue growth CAGR in the next two years, and OPM expands to ~30% in FY28. EPS of €2.98 for FY28 is largely unchanged, at 46% CAGR26-28E. PT maintained at 102, implying 27 P/E for Q5-8 EPs of €3.72.

Investment Implications

We reiterate Outperform rating for Infinion with PT at EUR 102 . [Download Infinion Model](#)

Close Date	4 Aug 2026			
IFX.GR Close Price (EUR)	64.48			
Price Target (EUR)	102.00			
Upside/(Downside)	58%			
52-Week Range	89.67/30.81			
EDME	1,630.85			
FYE	Sep			
Div Yield	0.6%			
Market Cap (EUR) (M)	78,760			
EV (EUR) (M)	84,941			
Performance	YTD	1M	6M	12M
Absolute (%)	59.8	(22.3)	46.5	70.7
EDME (%)	10.9	0.5	7.5	21.8
Relative (%)	48.9	(22.8)	39.0	48.9
Source: Bloomberg, Bernstein estimates and analysis.				

Price Performance, 1YR



Adjusted EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
IFX.GR (EUR)	1.38	1.77	2.98	Revenues (M)	14,662	16,398	20,067	17.0%	Adjusted P/E (x)	46.6	36.5	21.7
OLD	--	1.74	2.94	Operating Margin (%)	10.3	14.0	21.0	--				

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

First Published: 05 Aug 2026 16:57 UTC Completion Date: 05 Aug 2026 16:57 UTC

www.bernsteinresearch.com

DETAILS

Q3FY26 RESULTS

Q3 results were slightly ahead of consensus, with topline at €4.17Bn (vs Cons. €4.13Bn / Bern. €4.16Bn), up 9% QoQ and 13% YoY, driven by improved demand across all segments. PSS remained the main growth driver on continued AI power strength, while ATV benefited from MCU, smart power and Ethernet. Adj. GM of 42.8% (vs Cons. 42.3% / Bern. 42.5%) was above expectations, while SM of 19.1% (vs Cons. 19.5% / Bern. 19.0%) came in slightly below. EPS was in line at €0.44. Backlog increased by €5Bn QoQ to €30Bn reflecting AI strength and broad-based demand recovery in industrial and automotive (Exhibit 1, Exhibit 2).

Infineon's **Q3 revenue** was €4.17Bn, up 9% QoQ, with all divisions contributing to growth. Management noted that the recovery is broadening as inventories normalize, customer bookings strengthen, lead times rise, and order activity improves across end markets. AI and power infrastructure remain the strongest areas, followed by auto, while consumer remains weaker. Looking at segments (Exhibit 3, Exhibit 4):

- **Automotive (ATV)** revenue was €1.93Bn, up 6% QoQ, driven mainly by MCUs, smart power and Ethernet products linked to SDV. Segment margin expanded to 18.4% from 18.1%. Management highlighted strong auto order intake despite a muted vehicle production environment, supported by inventory replenishment, ongoing content growth and market share gains. They also mentioned further design win momentum in zonal architectures, ADAS and cockpit applications, while also citing opportunities from supply constraints affecting some Chinese auto semis. The HV drivetrain business remains a headwind and is expected to reduce margins by a low-to-mid-single digit % impact in FY26.
- **Green Industrial Power (GIP)** revenue was €447Mn, up 1.1% QoQ, with growth across all application areas, particularly power infrastructure and HVAC. Segment declined to 9.8% from 11.7%, due to temporary operational and inventory-related factors. Management stressed that these issues are not representative of the underlying business, expecting margins to improve materially in Q4. Demand continues to be supported by grid expansion, energy storage, industrial electrification and AI-related infrastructure, with power infrastructure highlighted as a major long term growth opportunity.
- **Power & Sensor Systems (PSS)** revenue was €1.44Bn, up 14% QoQ, driven by unabated AI power demand. Segment result margin expanded to 24.9% from 20.4%, reflecting strong volume leverage, favourable mix and the benefits of Infineon's leadership position in AI power solutions. IFX reiterated that demand continues to exceed supply. FY26 AI power revenue guidance was increased to above €1.6Bn from €1.5Bn previously, with additional upside supported by both pricing and capacity reallocation toward AI products.
- **Connected Secure Systems (CSS)** revenue was €350Mn, up 10% QoQ, driven by broad-based strength across authentication, identification and connectivity products. Segment result increased to €34Mn, with margin improving to 9.7% from 5.6%. Management highlighted increasing adoption of AI at the edge across industrial and consumer applications.

Adj. GM was 42.8%, up 180bps QoQ, while reported GM increased to 40.8%. Management attributed the improvement to higher volumes, favourable mix and an initial contribution from pricing actions introduced from April onwards. These benefits were partially offset by annual merit increases, higher logistics and precious metal costs, stable idle costs and the continued impact of the HV drivetrain portfolio refocusing. Management noted that the majority of pricing benefits should become visible from Q1 FY27 onwards. **Segment result** was €797Mn, implying a 19.1% SM, up from 17.1% in Q2. The improvement was mainly driven by volume fall through and stronger mix, particularly within PSS (Exhibit 5, Exhibit 6).

Backlog was again one of the strongest takeaways from the quarter. Order backlog increased by ~€5Bn QoQ to nearly €30Bn at the end of June, supported by strong bookings in PSS, GIP and ATV. IFX highlighted strengthening demand patterns, rising lead times, lower cancellation rates. AI remains the largest contributor, but order momentum is increasingly broad-based across industrial and auto. Management views roughly two-thirds as scheduled for delivery next year, while stressing that backlog is not directly convertible to revenue because it includes unconfirmed orders, potential double ordering and products that may remain supply-constrained (Exhibit 7).

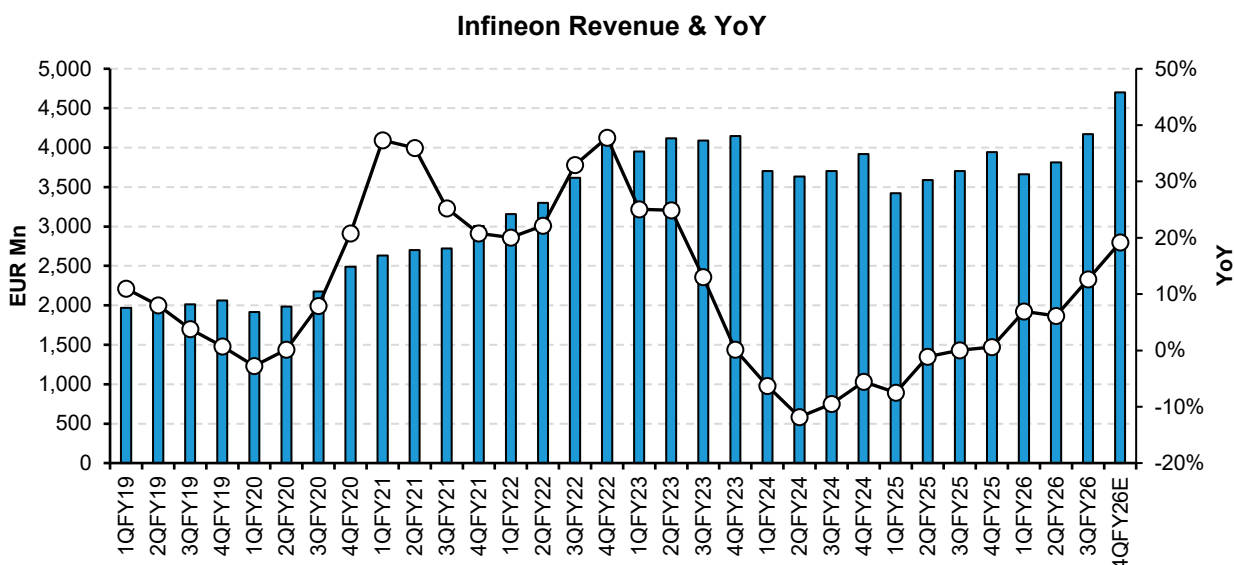
Inventory days declined to 165 from 175 in Q2, progressing towards management's FY26 year-end target of 150 days. The reduction supported stronger FCF generation, while management emphasized that inventories remain intentionally high to support growth in the current upcycle and provide resilience against potential geopolitical disruptions (Exhibit 8).

EXHIBIT 1: Q3 topline was slightly ahead of street at €4.17bn, up 9% QoQ, driven by improved demand across all segments, with PSS remaining the main growth driver. While Adj. GM of 42.8% was also above expectations, SM came in slightly below at 19.1%. EPS was in line at €0.44.

Millions of EUR	Prior Guidance	3QFY26 Actual	Consensus	Actual vs. Consensus	Bernstein	Actual vs. Bernstein	QoQ% Growth
Revenue	~4,100	4,172	4,133	39	4,155	17	9.4%
Adj. Gross Margin	-	42.8%	42.3%	46 bps	42.5%	30 bps	1.8%
Segment Margin	High-teens %	19.1%	19.5%	-44 bps	19.0%	8 bps	2.0%
Adj. Diluted EPS (€)	-	0.44	0.44	-0.00	0.43	0.01	28.8%

Source: Company reports, Bloomberg, Bernstein analysis and estimates.

EXHIBIT 2: IFX reported record topline of €4.17bn, up 9% QoQ, driven by improved demand across all segments. PSS remained the key growth driver, supported by rising AI power demand, while ATV growth was driven by MCUs, smart power and Ethernet products.



*4QFY26E estimates based on company guidance

Source: Company reports, Bernstein analysis

EXHIBIT 3: ATV and PSS revenues exceeded expectations, while GIP and CSS fell short. Overall revenue growth was driven by PSS and GIP, which increased by 14% and 11% QoQ, respectively.

3Q26 Actual vs Cons (EUR M)	ATV	GIP	PSS	CSS
Actual	1,932	447	1,442	350
Consensus	1,906	456	1,413	362
Difference	26	-9	29	-12
Bernstein	2,018	449	1,301	387
Difference	-86	-2	141	-37

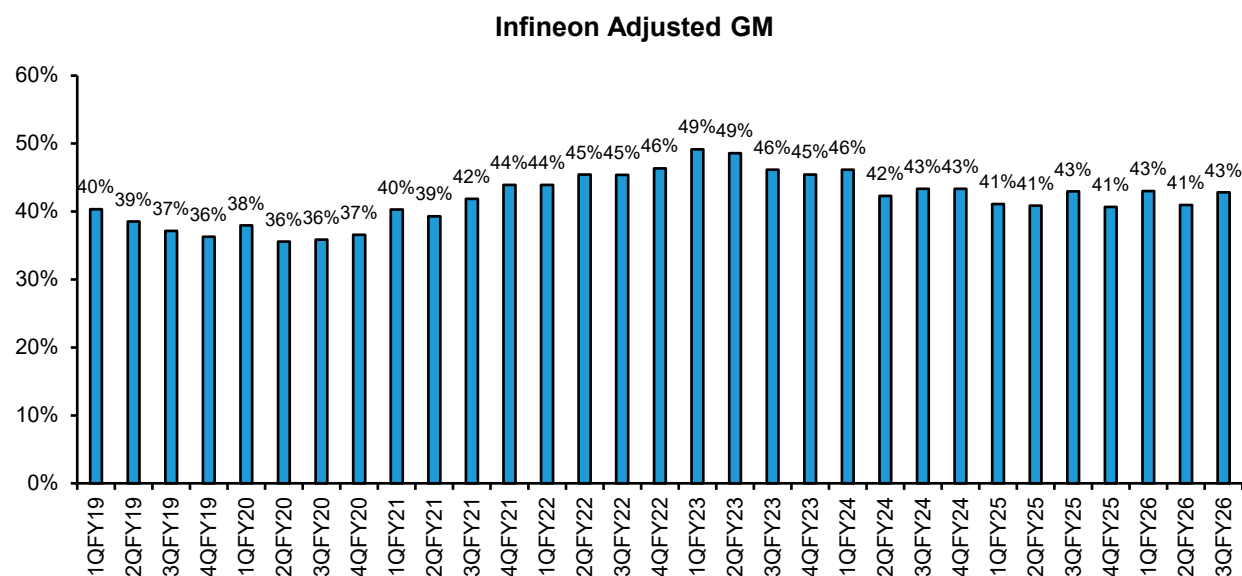
Source: Company reports, Bloomberg, Bernstein analysis and estimates

EXHIBIT 4: PSS drives Q3 margin uplift as AI momentum accelerates; GIP profitability temporarily impacted by operational factors, while ATV margins remained affected by the high-voltage drivetrain portfolio refocus.

Millions of EUR	1QFY23	2QFY23	3QFY23	4QFY23	1QFY24	2QFY24	3QFY24	4QFY24	1QFY25	2QFY25	3QFY25	4QFY25	1QFY26	2QFY26	3QFY26
ATV															
Revenue	1,711	1,901	1,946	1,976	1,910	1,911	1,927	1,969	1,752	1,858	1,870	1,921	1,821	1,830	1,932
QoQ Growth	-0.3%	11.1%	2.4%	1.6%	-3.3%	0.1%	0.8%	2.2%	-11.0%	6.1%	0.6%	2.7%	-5.2%	0.5%	5.6%
YoY Growth	38.7%	43.6%	28.9%	15.1%	11.6%	0.5%	-1.0%	-0.3%	-8.3%	-2.8%	-3.0%	-2.4%	3.9%	-1.5%	3.3%
Segment result	532	647	583	617	564	482	498	510	343	385	371	430	403	331	356
Segment margin	31.1%	34.0%	30.0%	31.2%	29.5%	25.2%	25.8%	25.9%	19.6%	20.7%	19.8%	22.4%	22.1%	18.1%	18.4%
GIP															
Revenue	500	558	565	582	487	469	475	503	340	397	431	442	349	403	447
QoQ Growth	-7.7%	11.6%	1.3%	3.0%	-16.3%	-3.7%	1.3%	5.9%	-32.4%	16.8%	8.6%	2.6%	-21.0%	15.5%	10.9%
YoY Growth	30.9%	29.8%	29.6%	7.4%	-2.6%	-15.9%	-15.9%	-13.6%	-30.2%	-15.4%	-9.3%	-12.1%	2.6%	1.5%	3.7%
Segment result	144	181	171	166	130	89	88	111	34	38	61	72	31	47	44
Segment margin	28.8%	32.4%	30.3%	28.5%	26.7%	19.0%	18.5%	22.1%	10.0%	9.6%	14.2%	16.3%	8.9%	11.7%	9.8%
PSS															
Revenue	1,204	1,104	1,100	1,098	940	880	934	1,041	987	979	1,053	1,210	1,171	1,260	1,442
QoQ Growth	-13.1%	-8.3%	-0.3%	-0.2%	-14.4%	-6.4%	6.1%	11.5%	-5.2%	-0.8%	7.6%	14.9%	-3.2%	7.6%	14.4%
YoY Growth	8.4%	1.0%	-9.2%	-20.8%	-21.9%	-20.3%	-15.1%	-5.2%	5.0%	11.3%	12.7%	16.2%	18.6%	28.7%	36.9%
Segment result	301	197	191	172	99	94	109	146	169	138	198	176	204	257	359
Segment margin	25.0%	17.8%	17.4%	15.7%	10.5%	10.7%	11.7%	14.0%	17.1%	14.1%	18.8%	14.5%	17.4%	20.4%	24.9%
CSS															
Revenue	531	550	474	490	364	371	366	406	344	356	349	369	321	319	350
QoQ Growth	7.9%	3.6%	-13.8%	3.4%	-25.7%	1.9%	-1.3%	10.9%	-15.3%	3.5%	-2.0%	5.7%	-13.0%	-0.6%	9.7%
YoY Growth	24.4%	22.8%	3.9%	-0.4%	-31.5%	-32.5%	-22.8%	-17.1%	-5.5%	-4.0%	-4.6%	-9.1%	-6.7%	-10.4%	0.3%
Segment result	125	155	119	90	37	42	42	62	30	40	39	45	23	18	34
Segment Margin	23.5%	28.2%	25.1%	18.4%	10.2%	11.3%	11.5%	15.3%	8.7%	11.2%	11.2%	12.2%	7.2%	5.6%	9.7%
Total															
Revenue	3,951	4,119	4,089	4,149	3,702	3,632	3,702	3,919	3,424	3,591	3,704	3,943	3,662	3,812	4,172
QoQ Growth	-4.6%	4.3%	-0.7%	1.5%	-10.8%	-1.9%	1.9%	5.9%	-12.6%	4.9%	3.1%	6.5%	-7.1%	4.1%	9.4%
YoY Growth	25.1%	24.9%	13.0%	0.1%	-6.3%	-11.8%	-9.5%	-5.5%	-7.5%	-1.1%	0.1%	0.6%	7.0%	6.2%	12.6%
Segment result	1,107	1,180	1,067	1,044	831	707	734	832	573	601	668	717	655	653	797
Segment margin	28.0%	28.6%	26.1%	25.2%	22.4%	19.5%	19.8%	21.2%	16.7%	16.7%	18.0%	18.2%	17.9%	17.1%	19.1%

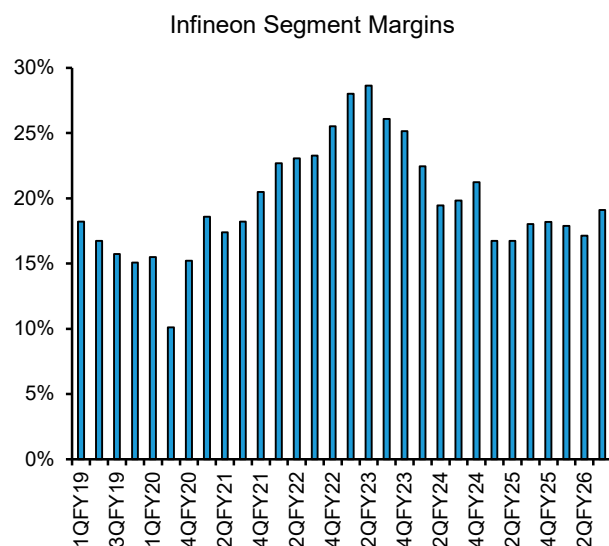
Source: Company reports, Bernstein analysis.

EXHIBIT 5: Adj. GM continued to recover in Q3, up 182 bps QoQ, rising to 42.8%, on stronger demand and favourable mix, with pricing gains increasingly offsetting inflationary pressures across labour, logistics and raw materials.



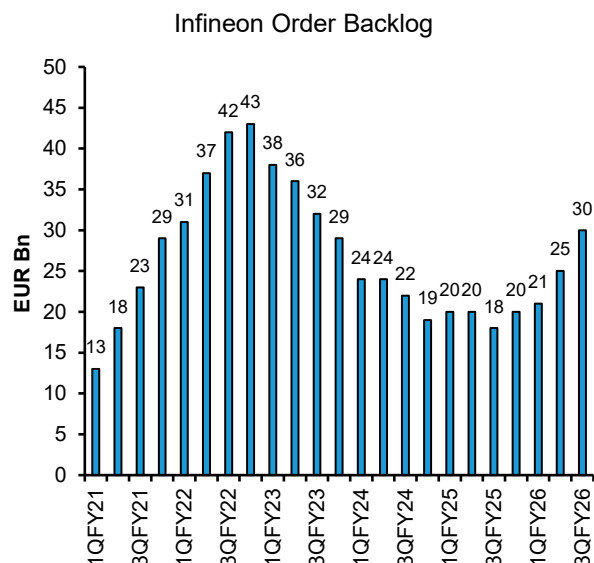
Source: Company reports, Bernstein analysis

EXHIBIT 6: Q3 SM rose 200bps QoQ to 19.1%, benefiting from volume leverage and mix, as strong PSS execution outweighed temporary GIP pressures and ATV restructuring impacts.



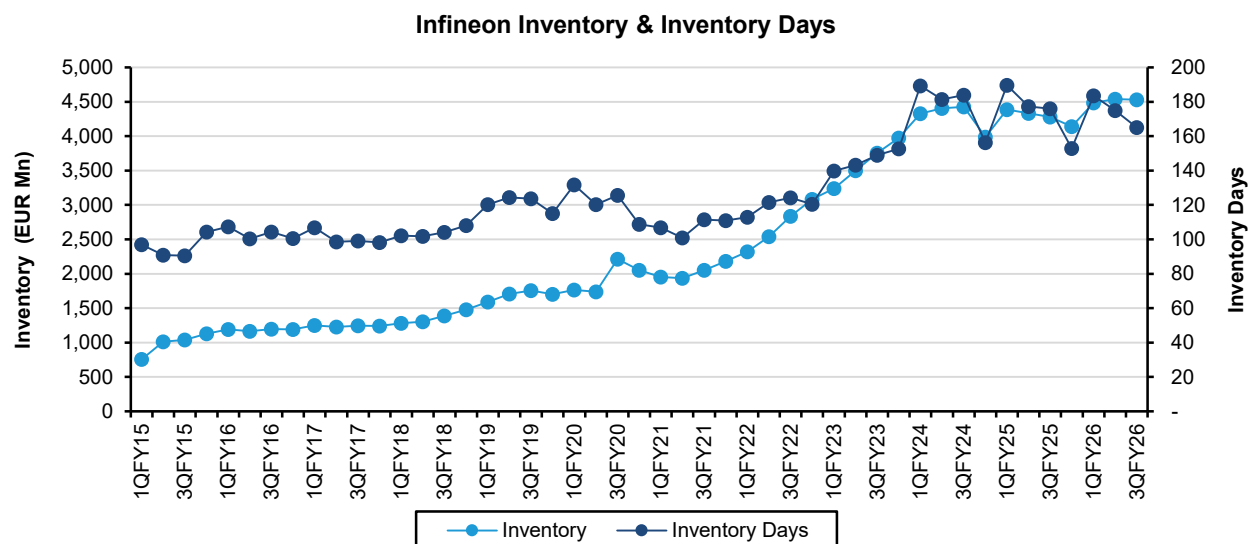
Source: Company reports, Bernstein analysis

EXHIBIT 7: Q3 backlog increased to €30bn from only €18bn a year ago, driven by strong order intake in PSS, GIP and ATV, supporting improving visibility into FY27 demand.



Source: Company reports, Bernstein analysis.

EXHIBIT 8: Inventory days fell by 10 days QoQ to 165 in Q3, progressing toward management's FY26 year-end target of ~150 days, while supporting stronger FCF generation and maintaining sufficient buffer stock to capture growth and mitigate geopolitical risks.



Source: Company reports, Bernstein analysis

Q4 FY26 AND FY26 GUIDANCE

Q4 guidance was mixed, with revenue of ~€4.7Bn (vs Cons. €4.62Bn / Bern. €4.72Bn) slightly above consensus, supported by broadening demand and continued AI strength, while SM guidance of ~23% (vs Cons. 23.7% / Bern. 22.9%) was slightly below consensus. Infineon also quantified its FY26 revenue outlook at ~€16.3Bn (vs. prior guidance for significant growth), while maintaining its low to mid 40s Adj. GM and ~20% SM targets. Management highlighted a broadening recovery, accelerating backlog growth, strong pricing traction in AI and related power products, and improving visibility into FY27.

- **IFX guided Q4 revenue** to record level of ~€4.7Bn, implying 13% QoQ and 19% YoY growth, above consensus €4.62Bn. However, SM is guided at ~23% versus street at 23.7%, 400bps QoQ expansion. By segment, ATV is expected to grow moderately, while GIP, PSS and CSS should grow significantly. The recently acquired ams OSRAM sensor portfolio is expected to contribute a mid double-digit million euro revenue amount in Q4. Margin expansion should be driven by volume fall through, positive mix and pricing, partly offset by higher input costs. ([Exhibit 9](#)).
- **FY26 guidance** was quantified, with revenue now expected at ~€16.3Bn, equivalent to around 11% YoY growth. This compares with consensus at €16.19Bn and Bernstein at €16.34Bn. Adj. GM guidance was maintained at low to mid 40s versus street at 42.6%, while SM remains guided at ~20% (vs. Cons. 19.8% / Bern. 19.4%). By division, PSS is expected to grow materially faster than group, GIP just below group growth, ATV slightly and CSS broadly stable YoY. Management also raised adjusted FCF guidance to ~€1.85Bn from ~€1.65Bn previously, reflecting stronger operating performance ([Exhibit 10](#)).
- **FY27 and longer term outlook** remained highly constructive. While formal FY27 guidance will be provided in Q4, management indicated that Q1 and H2 should be substantially better than normal seasonality. Visibility continues to improve through a growing backlog and newly introduced Customer Reservation Agreement (CRAs). The recently acquired OSRAM analog/mixed signal sensor business, with an annual revenue run rate of roughly €230Mn will sit within the PSS sensor portfolio and provides an additional growth contributor into FY27. **Capacity is expanding** through Dresden, Villach and Kulim, while converting capacity from other areas toward AI power. For Dresden, management now expects to fill the new facility in less than three years if demand persists. The facility is central to supporting the next AI-power ramp.
- **AI power remains the key upside driver.** FY26 dedicated AI power revenue guidance was increased to above €1.6Bn from €1.5Bn previously, and from €2.5bn to well above 2.5bn driven by both pricing and additional capacity transferred from non AI applications. The Q4 increase is primarily supply/operational execution, with some pricing contribution. While this might have disappointed some investors, we think investors just need to be patient as **we expect a material increase of FY27 AI revenue outlook to €3.8bn (including GPU and CPU servers) at its November results.** To support the growth, Infineon have negotiated CRAs worth high-single-digit billions of euros for multi-year capacity-reservation agreements with hyperscalers, AI processor vendors and data-center hardware providers, covering both Stage 1 and Stage 2 power products. More than 10 customers are either signed or in active negotiations. These contracts guarantee volume and leaves price for negotiation, and include penalties if customers do not meet specified thresholds. We expect PSS margins approaching ~30% in Q4, highlighting the exceptional profitability of the AI power business.
- **Margin improvement is becoming increasingly visible.** Management characterized the 23% Q4 guide as prudent, and we think the practical range appears to be 23–24%. The Q4 margin uplift is driven by strong volume fall-through—better than 50% on incremental revenue—plus favorable mix and initial pricing benefits. Only part of the pricing benefit is reflected in FY26, with most annual contract negotiations and VPA renewals occurring from January onwards, providing a further tailwind into FY27. Underutilization charges are expected to decline from FY26 levels of ~€650Mn, providing an additional lever for margin expansion.

EXHIBIT 9: Q4 guidance was mixed, with revenue of ~EUR 4,7bn (vs Cons. 4,62 / Bern 4,72) slightly above consensus, supported by moderate growth in ATV and significant growth in GIP, PSS and CSS, while SM guidance of ~23% was below consensus.

Millions of EUR	Q4FY26 Guidance	Consensus	Guidance vs Consensus	Bernstein	Guidance vs Bernstein
Revenue	~4,700	4,624	1.7%	4,715	-0.3%
Segment Margin	23%	23.7%	-72 bps	22.9%	9 bps

Consensus and Bernstein estimates before Q3FY26 Results

Source: Company reports, Bloomberg, Bernstein analysis and estimates

EXHIBIT 10: Infineon quantified its FY26 revenue outlook at ~€16.3bn (vs. prior guidance for significant growth), while maintaining its low-to-mid 40s Adj. GM and ~20% SM targets

Millions of EUR	FY25 Results	Old FY26 Guidance	New FY26 Guidance	Consensus	Bernstein
Revenue	14,662	Significant growth	16,300	16,186	16,343
Adj. Gross Margin	41.4%	Low-to-Mid 40s	Low-to-Mid 40s	42.6%	42.9%
Segment Result	17.5%	20%	20%	19.8%	19.4%

Consensus and Bernstein estimates before Q3FY26 Results

Source: Company reports, Bloomberg, Bernstein analysis and estimates.

MODEL UPDATE

Our estimates change only modestly following Q3. While we raise AI power revenue forecasts meaningfully and slightly increase auto and industrial assumptions to reflect the broadening recovery, our topline forecasts increase by only 1.2% and 2.3% in FY27E and FY28E, respectively. We remain constructive on margins but continue to model a gradual improvement trajectory, broadly in line with management's conservative stance. At the same time, accelerating pricing in AI and adjacent power end markets offers potential upside to our estimates.

- **On revenues**, we've only marginally revised up our estimates, with FY26E revenue increasing to €16.4Bn, FY27E to €20.1Bn (+1.2%) and FY28E to €23.5Bn (+2.3%). The main driver is higher AI power revenue, where we raise our forecasts to €1.72Bn, €2.92Bn and €4.41Bn in FY26E, FY27E and FY28E, respectively, from €1.56Bn, €2.67Bn and €3.93Bn previously. We also assume a slightly stronger recovery in auto and industrial as order momentum, backlog and inventory normalization continue to improve. Our FY27E and FY28E revenue forecasts remain 5.0% and 6.6% above consensus, respectively ([Exhibit 11](#), [Exhibit 12](#)).
- **On profitability**, our forecast remains largely unchanged. PSS margins are already expected to approach 30% in Q4, highlighting the attractive economics of the AI power business and improving mix benefits. However, we have not materially increased our margin assumptions, as we continue to expect a gradual improvement over the next two years driven primarily by higher volumes, lower underutilization charges and pricing actions flowing through annual contract renewals. **We keep our margin forecasts conservative, with further pricing acceleration across AI and adjacent power categories providing potential upside to our estimates.** However, our FY27E and FY28E SM forecasts remain 90bps and 120bps above consensus, respectively.
- **This translates into only modest EPS revisions**, with FY27E to €2.98 (+1.4%) and FY28E to €4.01 (+2.0%), but we still are 8.8% and 8.1% above street, respectively. **We keep our TP unchanged at 102, implying 27 P/E for Q5-8 EPs of €3.72 and reiterate our Outperform Rating.**

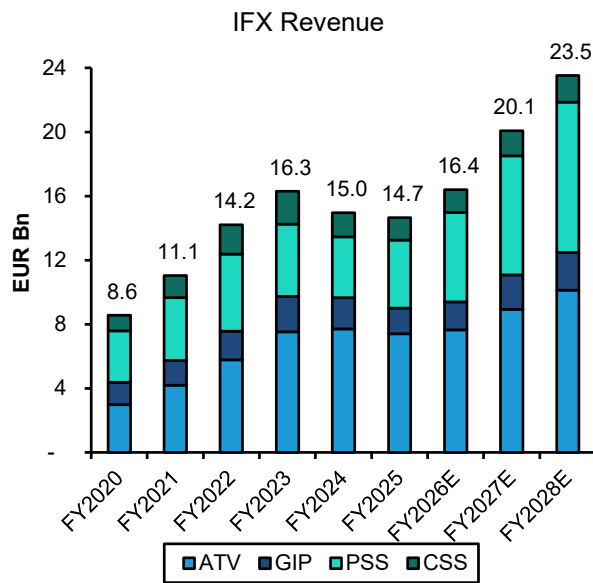
Our latest Infineon company model and AI Power Industry model can be downloaded here: [IFX.GR, AI Server power Model](#)

EXHIBIT 11: We've only marginally revised up our topline forecasts over the next 3 years, driven by higher AI power revenue and a slightly stronger auto and industrial recovery, while remaining 5% to 7% above street revenue and 8% to 9% above consensus EPS in FY27-28

Infineon: summary of estimate changes	2025	Q1 2026	Q2 2026	Q3 2026E	Q4 2026E	2026E	2027E	2028E
Revenue (EUR bn)								
Bernstein - Old	14.7	3.7	3.8	4.2	4.7	16.3	19.8	23.0
Growth YoY	-2.0%	7.0%	6.2%	12.6%	19.6%	11.5%	21.3%	15.9%
Bernstein - New					4.8	16.4	20.1	23.5
Growth YoY					20.5%	11.8%	22.4%	17.2%
Consensus					4.6	16.2	19.1	22.1
Growth YoY					17.0%	10.3%	18.1%	15.5%
New vs. old					0.8%	0.3%	1.2%	2.3%
Bernstein vs. consensus					3.0%	1.4%	5.0%	6.6%
Adj. Gross Profit (EUR bn)								
Bernstein - Old	6.1	1.6	1.6	1.8	2.1	7.0	9.2	11.1
Growth YoY	-7.3%	11.9%	6.5%	12.3%	31.8%	15.6%	31.1%	20.8%
Margin	41.4%	43.0%	41.0%	42.8%	44.8%	42.9%	46.4%	48.3%
Bernstein - New					2.1	7.1	9.4	11.4
Growth YoY					32.8%	16.2%	32.8%	22.2%
Margin					44.8%	43.0%	46.7%	48.7%
Consensus					2.1	7.0	8.9	10.8
Growth YoY					33.5%	14.6%	27.4%	21.8%
Margin					46.4%	43.0%	46.4%	48.9%
New vs. old					0.8%	0.5%	1.9%	3.0%
Bernstein vs. consensus					-0.5%	1.4%	5.7%	6.0%
Segment Profit (EUR bn)								
Bernstein - Old	2.6	0.7	0.7	0.8	1.1	3.2	5.2	6.9
Growth YoY	-17.6%	14.3%	8.7%	19.3%	50.6%	24.2%	63.5%	31.9%
Margin	17.5%	17.9%	17.1%	19.1%	22.9%	19.4%	26.2%	29.8%
Bernstein - New					1.1	3.2	5.3	7.0
Growth YoY					55.8%	25.9%	63.5%	33.1%
Margin					23.5%	19.6%	26.2%	29.8%
Consensus					1.1	3.2	4.8	6.3
Growth YoY					52.5%	24.5%	51.6%	30.8%
Margin					23.7%	19.7%	25.3%	28.6%
New vs. old					3.4%	1.4%	1.3%	2.3%
Bernstein vs. consensus					2.2%	1.1%	9.1%	11.0%
Adj Diluted EPS (EUR)								
Bernstein - Old	1.38	0.35	0.34	0.44	0.62	1.74	2.94	3.93
Growth YoY	-26.0%	4.4%	-0.1%	18.8%	82.1%	26.0%	68.5%	33.7%
Bernstein - New					0.64	1.77	2.98	4.01
Growth YoY					88.5%	27.8%	68.3%	34.6%
Consensus					0.63	1.75	2.73	3.71
Growth YoY					84.7%	26.2%	56.6%	35.6%
New vs. old					3.5%	1.5%	1.4%	2.0%
Bernstein vs. consensus					2.1%	1.3%	8.8%	8.1%

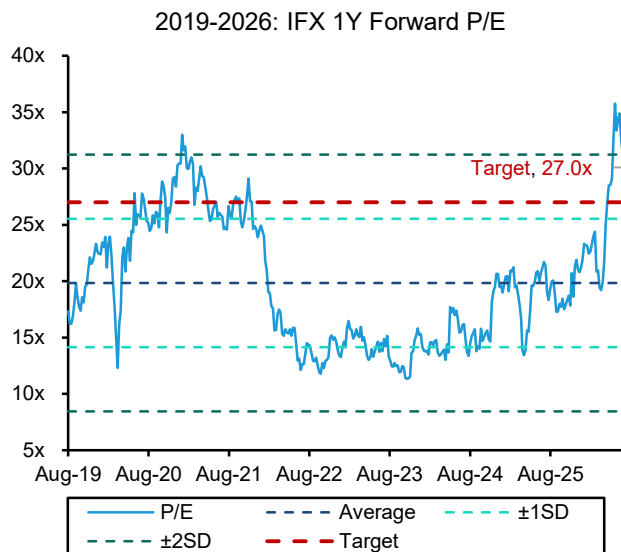
Source: Company reports, Bloomberg, Bernstein analysis and estimates.

EXHIBIT 12: We expect total revenue to grow at 17% CAGR25-28E reaching €23.5bn. PSS remains the key growth driver with ~30% CAGR, followed by GIP at ~14% and ATV at ~11%.



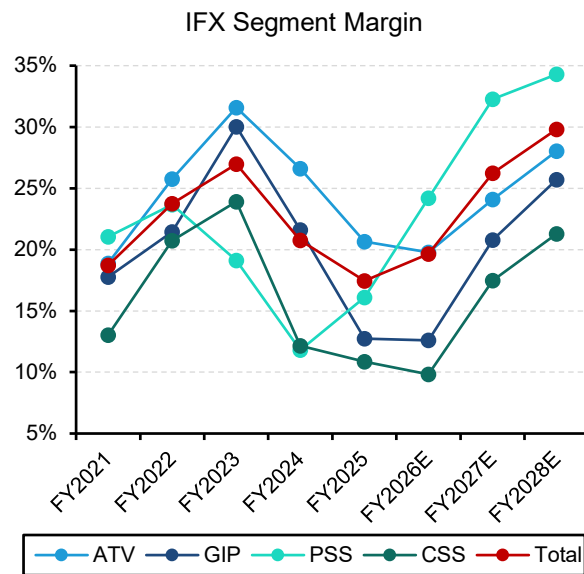
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 14: IFX 1Y Forward P/E has declined significantly from last month's peak and is now trading between +1SD and its 7-year average.



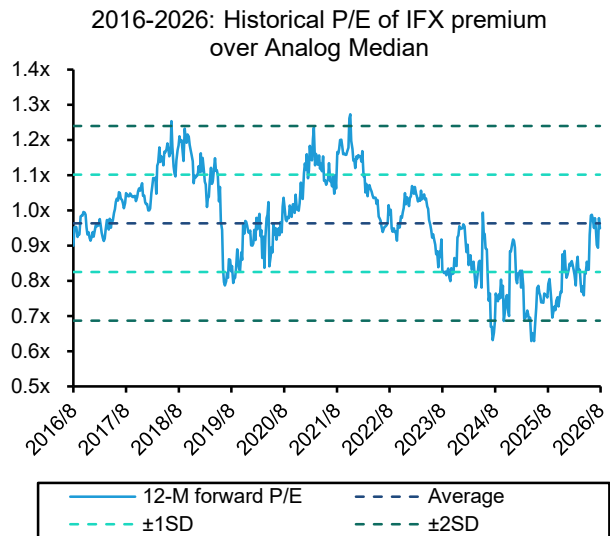
Source: Bloomberg, Bernstein analysis.

EXHIBIT 13: We expect IFX SM to expand to ~30% by FY28E, driven primarily by highly profitable AI-led PSS growth, while GIP and ATV margins recover on improving utilization, mix and volumes.



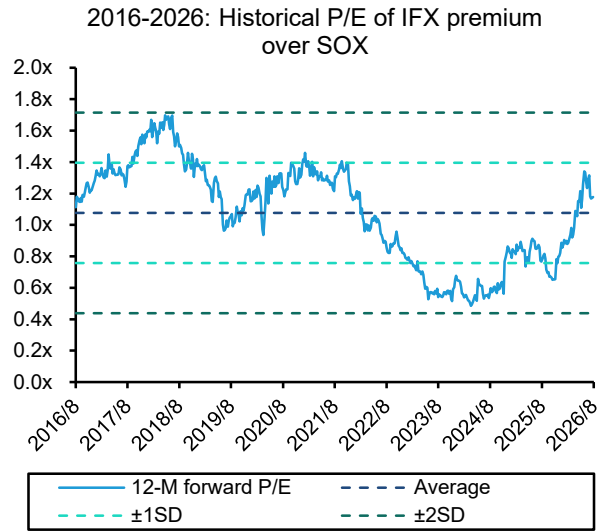
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 15: IFX has historically traded almost at par with the Analog Median and it is now trading slightly below its historical average.



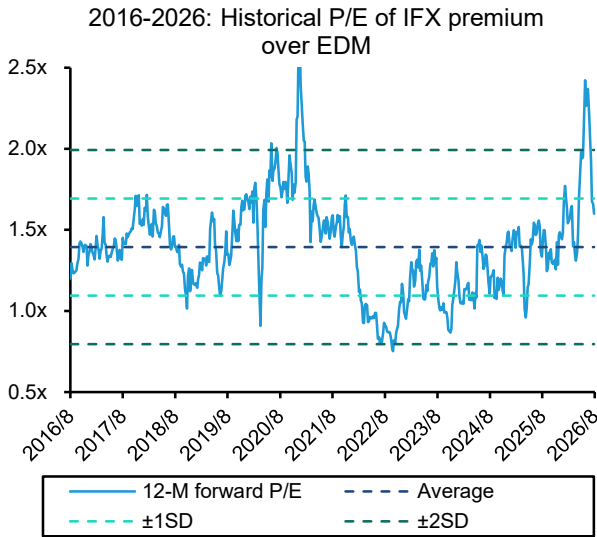
Source: Bloomberg, Bernstein analysis

EXHIBIT 16: **IFX is currently trading slightly above its historical average premium over the SOX of 1.1x**



Source: Bloomberg, Bernstein analysis

EXHIBIT 17: **IFX is currently trading at 1.6x premium over EDM Index, above its historical average premium of 1.4x.**



Source: Bloomberg, Bernstein analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 18: Infineon Income statement

Income Statement										
GAAP EUR mn	FY2023	FY2024	FY2025	1Q26	2Q26	3Q26	4Q26E	FY2026E	FY2027E	FY2028E
Revenue	16,308	14,955	14,662	3,662	3,812	4,172	4,752	16,398	20,067	23,518
Gross profit	7,414	6,244	5,753	1,462	1,477	1,703	2,062	6,704	9,100	11,177
SG&A expense	(1,599)	(1,553)	(1,582)	(409)	(379)	(433)	(475)	(1,696)	(1,752)	(1,820)
R&D expense	(1,985)	(2,161)	(2,228)	(626)	(612)	(674)	(713)	(2,625)	(2,956)	(3,170)
Other opex	117	(340)	(429)	(39)	(28)	(2)	(15)	(84)	(173)	(233)
Operating Profit	3,947	2,190	1,514	388	458	594	859	2,299	4,219	5,953
D&A	1,754	1,866	1,917	-	-	-	-	1,956	2,232	2,488
EBITDA	5,702	4,055	3,432	866	910	1,060	1,418	4,254	6,451	8,441
Non-Operating income	(25)	(31)	(139)	(50)	(66)	(59)	(42)	(217)	(123)	(53)
Pre-tax income	3,922	2,159	1,375	338	392	535	816	2,081	4,096	5,901
Income tax expense	(783)	(379)	(370)	(82)	(91)	(112)	(171)	(456)	(965)	(1,416)
Net Income (incl. discounted operation)	3,139	1,780	1,005	256	301	423	645	1,625	3,131	4,485
Net income	3,138	1,300	1,014	256	301	423	645	1,625	3,131	4,485
Diluted EPS (EUR)	2.40	1.00	0.78	0.00	0.23	0.32	0.49	1.24	2.38	3.41
Margins										
Gross profit	45%	42%	39%	40%	39%	41%	43%	41%	45%	48%
Operating Profit	24%	15%	10%	11%	12%	14%	18%	14%	21%	25%
EBITDA	35%	27%	23%	24%	24%	25%	30%	26%	32%	36%
Pretax income	24%	14%	9%	9%	10%	13%	17%	13%	20%	25%
Net income	19%	9%	7%	7%	8%	10%	14%	10%	16%	19%
Adjusted Figures										
Gross Profit	7,717	6,548	6,068	1,575	1,562	1,787	2,129	7,053	9,368	11,445
Segment Result	4,398	3,104	2,559	655	653	797	1,117	3,222	5,267	7,011
EBITDA	5,687	4,560	4,069	1,000	1,009	1,173	1,566	4,748	7,058	9,058
Pre-tax Income	4,373	3,073	2,420	605	587	738	1,074	3,004	5,144	6,959
Net Income	3,467	2,440	1,809	455	449	576	845	2,325	3,917	5,273
Diluted EPS	2.65	1.87	1.38	0.35	0.34	0.44	0.64	1.77	2.98	4.01
Adjusted Margins										
Gross Profit	47%	44%	41%	43%	41%	43%	45%	43%	47%	49%
Segment Result	27%	21%	17%	18%	17%	19%	24%	20%	26%	30%
EBITDA	35%	30%	28%	27%	26%	28%	33%	29%	35%	39%
Pre-tax Income	27%	21%	17%	17%	15%	18%	23%	18%	26%	30%
Net Income	21%	16%	12%	12%	12%	14%	18%	14%	20%	22%

Source: Company reports, Bernstein analysis and estimates

CHART 1: Infineon Balance Sheet

Balance Sheet									
EUR mn	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E
Net PP&E	4,110	4,443	5,545	7,045	8,002	8,142	9,050	11,244	13,226
Intangible assets	9,518	9,311	10,566	9,524	9,617	11,123	11,251	10,834	10,244
Other Non-current assets	1,192	1,328	1,348	1,178	1,227	1,382	1,545	1,769	1,979
Total non-current assets	14,820	15,082	17,459	17,747	18,846	20,647	21,846	23,846	25,449
Cash & Cash equivalents	1,851	1,749	1,438	1,820	1,806	1,356	2,197	3,412	6,513
Accounts receivable	1,273	1,540	1,945	2,054	2,351	2,322	2,747	3,362	3,941
Inventories	2,052	2,181	3,081	3,974	3,990	4,141	3,988	4,001	4,232
Other current assets	2,003	2,782	2,989	2,844	1,646	2,004	2,148	2,466	2,766
Total current assets	7,179	8,252	9,453	10,692	9,793	9,823	11,080	13,242	17,451
Total assets	21,999	23,334	26,912	28,439	28,639	30,470	32,927	37,088	42,900
Total shareholders' equity	10,219	11,401	14,944	17,044	17,219	17,051	18,868	22,418	27,459
Long-term debt	6,528	5,752	4,910	4,403	4,311	5,782	5,784	5,384	4,984
Other non-current liabilities	1,802	1,738	1,470	1,323	1,963	1,853	1,723	2,035	2,328
Total non-current liabilities	8,330	7,490	6,380	5,726	6,274	7,635	7,507	7,419	7,312
Accounts payable	1,500	1,857	2,616	3,183	2,291	2,342	2,804	3,033	3,467
Others	1,950	2,586	2,972	2,486	2,855	3,442	3,804	4,275	4,718
Total current liabilities	3,450	4,443	5,588	5,669	5,146	5,784	6,608	7,307	8,185
Total liabilities	11,780	11,933	11,968	11,395	11,420	13,419	14,114	14,726	15,497
Total liabilities & shareholders' equity	21,999	23,334	26,912	28,439	28,639	30,470	32,983	37,144	42,956

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 19: Infineon Cash Flow Statement

Cash Flow Statement									
EUR mn	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E
Net Income (incl. discounted operation)	368	1,169	2,179	3,137	1,301	1,015	1,625	3,131	4,485
D&A	1,260	1,513	1,664	1,754	1,865	1,917	1,956	2,232	2,488
Others	183	383	137	(931)	(386)	285	547	837	1,284
Cash flow from operations	1,811	3,065	3,980	3,960	2,780	3,217	4,128	6,200	8,257
Capex	-1,066	(1,483)	(2,294)	(2,871)	(2,705)	(2,042)	(2,621)	(4,009)	(3,881)
Others	-6,106	(801)	(147)	607	538	(2,532)	168	-	-
Cash flow from investments	-7,172	(2,284)	(2,441)	(2,264)	(2,167)	(4,574)	(2,453)	(4,009)	(3,881)
Cash flow from financing	6,274	(885)	(1,869)	(1,301)	(615)	914	(839)	(976)	(1,276)
Net effect of exchange rates	-83	2	19	(13)	(12)	(7)	5	-	-
Net change in cash	830	(102)	(311)	382	(14)	(450)	841	1,216	3,100

Source: Company reports, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	4 Aug 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Revenues (M) CAGR		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
IFX.GR (Infineon)	O	EUR	64.48	102.00	48.9%	EUR	1.38	1.77	2.98	4.7%	17.0%	19.8%
OLD								1.74	2.94			
EDME			1,630.85									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Infineon Technologies AG**

For Infineon, we apply a 27x multiple to our Q5-Q8 EPS estimate of €3.72 to get a PT of €102.

RISKS**Infineon Technologies AG**

Downside risks to our price target for Infineon include slower automotive demand or EV penetration, push-out of anticipated recovery, price-erosion and oversupply of SiC solutions, lower semiconductor demand broadly as well as valuation multiple compression.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

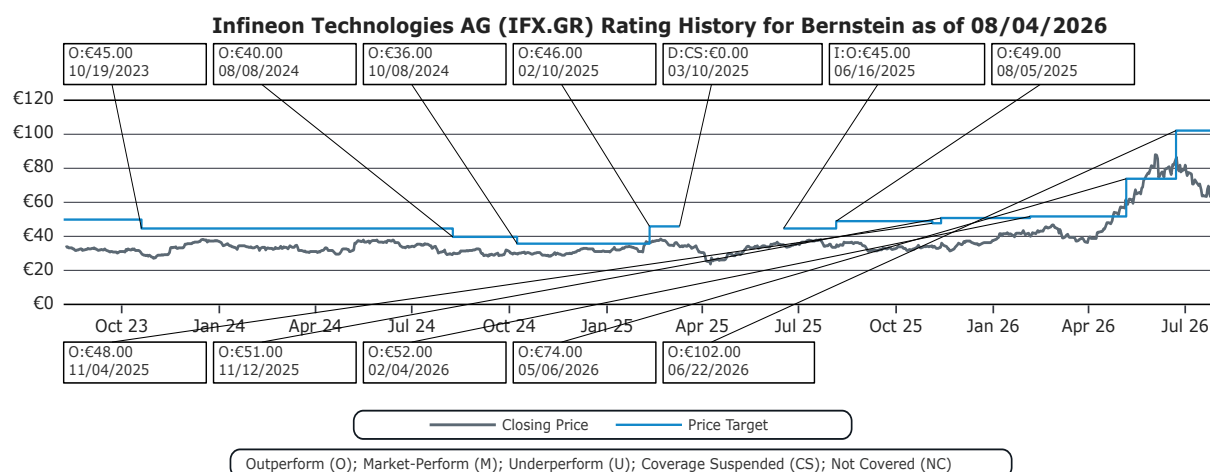
It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

SG and/or its affiliates beneficially own 0.5% or more of [the total issued share capital/any class of common equity securities] with a net [long/short] position of: Infineon Technologies AG.

SG and/or its affiliates beneficially own 1% or more of a class of common equity securities of the following company: Infineon Technologies AG.

Certain affiliates of Bernstein act as market maker or liquidity provider in the debt securities of: Infineon Technologies AG.

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Infineon Technologies AG.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

- +1 Bernstein Institutional Services LLC; New York, New York, USA
- +44 Bernstein Autonomous LLP; London UK
- +212 Société Générale Africa Technologies & Services; Casablanca, Morocco
- +33 BSG France S.A.; Paris, France
- +34 BSG France S.A.; Madrid, Spain
- +41 Bernstein Autonomous LLP; Geneva, Switzerland
- +49 BSG France S.A.; Frankfurt, Germany
- +91 Sanford C. Bernstein (India) Private Limited; Mumbai, India
- +852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China
- +65 Sanford C. Bernstein (Singapore) Private Limited; Singapore
- +81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for “Bernstein” and “Autonomous” research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the “Autonomous” and “Bernstein” brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.
- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to “Autonomous” branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation (“MAR”) and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission (“SEC”) and a member of the U.S. Financial Industry Regulatory Authority, Inc. (“FINRA”) is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as “permitted client” as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. (“BTG”) is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the “Financial Promotion Order”), (ii) are persons falling within Article 49(2)(a) to (d) (“high net worth companies, unincorporated associations, etc.”) of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as “relevant persons”). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in the SFC Public Register (<https://www.sfc.hk/publicregWeb/corp/AXC846/details>). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People's Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the "PRC") in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. ("Daiwa"), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services licence under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;
- making a market for a financial product; and
- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no.

INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).
- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.
- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
 - do not have any financial interest in the subject company
 - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
 - is not engaged in any investment banking activities for Indian companies, as such;
 - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
 - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
 - have not received compensation for brokerage services from the subject company in the past twelve months;
 - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
 - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.
 - do not have any conflict of interest in the subject company as of the date of this report.
- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.
- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.
- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com
- The Research investor charter and Terms & Conditions of SCB India are available on its website and may be accessed at [Sanford C. Bernstein \(India\) Private Limited](http://SanfordC.Bernstein(India)PrivateLimited) (<https://bernsteinresearch.in/>) for your reference.
- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives

on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are "eligible counterparties", "professional clients", "institutional investors" and/or "professional investors" as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein's express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein's express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein's research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)' current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported

information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, neither shall have any liability or responsibility for injury or damages arising in connection therewith.

No part of this material may be reproduced, distributed or transmitted or otherwise made available without prior consent of the entities noted herein. Copyright Bernstein Institutional Services LLC Bernstein Autonomous LLP, BSG France S.A., Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited and Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社). All rights reserved. The trademarks and service marks contained herein are the property of their respective owners. Any unauthorized use or disclosure is strictly prohibited. The entities noted herein may pursue legal action if the unauthorized use results in any defamation and/or reputational risk to the entities noted herein and research published under the Bernstein and Autonomous brands.